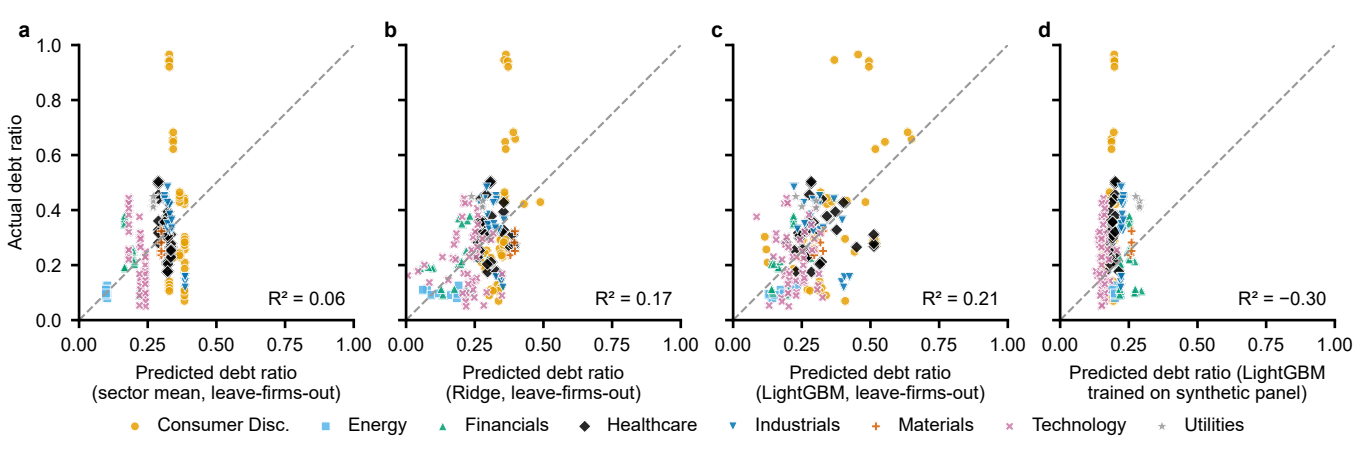

a
b
c
d
Actual debt ratio
1.0
0.8
0.6
0.4
0.2
0.0
0.00
0.25
0.50
0.75
1.00
R² = 0.06
R² = 0.17
R² = 0.21
R² = −0.30
Predicted debt ratio (sector mean, leave-firms-out)
Predicted debt ratio (Ridge, leave-firms-out)
Predicted debt ratio (LightGBM, leave-firms-out)
Predicted debt ratio (LightGBM trained on synthetic panel)
Consumer Disc.
Energy
Financials
Healthcare
Industrials
Materials
Technology
Utilities